

Private Market Deal Report

REAL ESTATE

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Industry Landscape

The acquisition occurred in 2025, during a period of elevated interest rates, limited office lending, and broad weakness across the NYC office sector. While transaction volume remained low and many older buildings faced significant vacancy pressure, Class A Midtown assets continued to outperform, supported by a clear “flight-to-quality” trend. Even strong buildings, however, traded at valuations below their pre-COVID peaks due to lower valuations across the market and more expensive, harder-to-obtain financing.

Property Overview

590 Madison Avenue on 57th Street and Madison Avenue, previously known as the IBM building, is a 1 million-square-foot, 42-story Class A office tower in Midtown Manhattan's Plaza District. RXR announced a \$1.08 billion purchase of the building from State Teachers Retirement System of Ohio, one of the largest pension funds in the U.S., making in the biggest office building purchase in three years. This purchase was bought at a discount to peak valuation as the former buyer was eager to decrease their exposure to office buildings.

Deal Structure

RXR partnered with Elliott Investment Management to acquire the property, with Newmark advising RXR on securing Elliott as its joint venture equity partner. Eastdil Secured arranged the financing package, which includes a \$650M senior loan, a \$135M mezzanine loan, and ~\$60M in tenant-improvement and capital-expenditure funding, all provided by Apollo. RXR and Elliott contributed the remaining ~\$295M in equity.

Investor Profile

RXR: A New York based real estate investment manager with a gross asset value of approx. \$16.6 billion

- Manages 109 commercial real estate properties and investments
- Portfolio includes 30.9 million square feet of commercial properties, a 9,600-unit multifamily portfolio under operation or development, and development rights for an additional 3,000 residential units

Key Risks

- Market Uncertainty: Hybrid work and elevated Midtown vacancy rates continue to pressure office demand and slow leasing activity.
- Capital Intensity: Significant ongoing investment in tenant improvements and amenity upgrades is required to keep the building competitive.
- Refinancing Risk: High interest rates and tighter credit conditions increase uncertainty around future refinancing and debt costs

Post-Close Vision

RXR plans to reposition 590 Madison Avenue as a premier Midtown office destination by enhancing the property's amenities, public spaces, and tenant experience to align with the market's ongoing “flight-to-quality” trend. Their vision centers on modernizing common areas, leveraging the building's well-known atrium and retail frontage, and targeting high-credit tenants seeking Class-A environments with strong wellness and productivity features. By combining capital improvements with institutional operating expertise, RXR aims to stabilize occupancy, strengthen long-term cash flows, and establish the building as a top-tier asset within the Plaza District's competitive office landscape.

Analyst Statement

RXR's acquisition of 590 Madison Avenue reflects their continued strategy of targeting premier office assets with long-term value creation potential. Despite elevated interest rates and lingering uncertainty in the Midtown office market, the property offers a rare opportunity to acquire a Class-A building in a prime Plaza District location at a meaningful discount to pre-Covid valuations. The partnership with Elliott strengthens the capital base behind the deal, while the planned repositioning aligns with the market's ongoing “flight-to-quality” trend. As RXR invests in the enhanced tenant experience, the property is well-positioned to capture demand from high-credit tenants seeking top-tier office environments. Existing tenants stand to benefit from upgraded amenities and improved building operations, while prospective tenants gain access to a modernized, wellness-oriented workspace in a prime location. For the broader Midtown market, the redevelopment reinforces confidence in top-tier office assets and supports stabilization efforts in a period of elevated vacancy. Overall, the acquisition underscores RXR's role in shaping the future of Manhattan's office landscape and signals renewed investor conviction in high-quality urban real estate.